

Comprehensive Wealth Plan

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1. Executive Summary

Year-One Financial Impact

\$28,100 - \$48,800

Combined tax savings, cash flow improvement, debt elimination, and wealth building

This comprehensive wealth plan addresses your current cash flow constraints while establishing a foundation for long-term wealth accumulation. With income of \$100-149K from your S-Corporation and commercial property ownership, the strategy focuses on maximizing immediate tax benefits, optimizing entity structure, and building toward your goal of passive income replacement.

Your primary challenge—expenses matching income with limited deployment capital—requires a two-phase approach. Phase One (0-6 months) implements high-impact, low-effort tax strategies that free up \$10,000+ annually. Phase Two (6-24 months) leverages your commercial property and business entity to build real estate-based passive income streams.

The Bitcoin-centric investment allocation (75% of liquid capital) aligns with your wealth accumulation timeline while retirement accounts provide tax-advantaged growth through traditional diversification. This plan delivers immediate cash flow relief while mapping a clear path to financial independence.

2. Current Financial Profile

HOUSEHOLD STRUCTURE

LOCATION

Head of Household
2 dependents

Kalispell, Montana
Combined tax rate: ~28-30%

INCOME SOURCES

S-Corporation
Commercial Property LLC
\$100-149K annually

BUSINESS STRUCTURE

S-Corp established 2+ years
Montana registered
Business credit established

MONTHLY EXPENSES

\$5,800 fixed expenses
\$3,029 mortgage (co-owned)

ASSETS

Home equity: \$260K (co-owned)
Retirement: Under \$25K
Liquid: \$5-9K available

DEBT POSITION

Non-mortgage debt: \$20-49K
Credit score: 760+

TIME AVAILABILITY

Less than 2 hours weekly
Capacity constraint for active strategies

Key Strengths

- Established business entity with track record (2+ years)
- Significant home equity (\$260K co-owned) provides leverage options
- Commercial property ownership creates strategic opportunities
- Excellent credit (760+) enables favorable financing
- Clear understanding of deployment capacity and strategy implementation needs

Primary Challenges

- Cash flow matching expenses with minimal surplus for investment
- Limited time availability constrains active income strategies
- Low retirement savings relative to age and income level
- Existing non-mortgage debt reduces deployment capacity
- Need to optimize entity structure for maximum benefit

3. Strategic Priorities

Primary Goals

1. **Create passive income equal to current business income** - Establish replacement income streams allowing business flexibility
2. **Define retirement freedom number** - Calculate specific target and actionable pathway to achieve it
3. **Leverage commercial property effectively** - Maximize tax benefits and cash flow from existing real estate asset
4. **Optimize entity integration** - Cross-leverage 2 S-Corps and Property LLC for maximum advantage

Immediate Focus (0-6 Months)

Resolve cash flow constraints through strategic tax optimization and debt reduction. Implementation of foundational strategies generates \$7,900-\$12,400 in annual tax savings plus \$2,500 cash flow improvement, with additional \$16,100-\$30,700 deployed into wealth building. This creates deployment capital for Phase Two wealth-building initiatives.

Medium-Term Development (6-24 Months)

Deploy freed capital into Bitcoin accumulation and evaluate commercial property monetization strategies. Consider short-term rental conversion or strategic arbitrage opportunities when time capacity increases. Build retirement accounts to 15%+ savings rate.

Long-Term Vision (2-5 Years)

Achieve passive income replacement through combination of rental property cash flow, Bitcoin appreciation, and tax-advantaged account growth. Transition from active business dependency to asset-driven income model. Reach defined freedom number enabling business optionality.

4. Tax Optimization Analysis

Current Tax Position

Federal Marginal Rate: 22-24% (income range \$100-149K, Head of Household)

Montana State Rate: 5.9% (top bracket)

Combined Effective Rate: 28-30%

Current Annual Tax Liability: \$18,000-\$28,000 (estimated)

Your current S-Corporation structure provides self-employment tax savings, but significant optimization opportunities remain in retirement contributions, business expense maximization, and entity coordination. Your S-Corp combined with commercial property LLC creates multiple vectors for tax reduction when properly structured.

Strategy Selection Framework

With limited time availability (under 2 hours weekly) and current cash flow constraints, strategy selection prioritizes high-value, low-maintenance implementations. All recommended strategies qualify as Tier 1 foundational approaches with established IRS precedent and minimal audit profile. Complex real estate strategies requiring 5-10 hours weekly remain in the future consideration category pending capacity expansion.

5. Recommended Tax Strategies

Strategy #1: Maximize Solo 401(k) Contributions

Annual Tax Savings: \$3,600 - \$6,750

Implementation Details

Your S-Corporation establishes a Solo 401(k) plan enabling both employee deferrals and employer profit-sharing contributions. For 2025, employee contributions max at \$23,500 with employer contributions up to 25% of W-2 compensation (total limit \$70,000).

Conservative Approach: Contribute \$10,000 employee deferral + \$2,500 employer match = \$12,500 total. Tax savings: $\$12,500 \times 29\% = \$3,625$

Aggressive Approach: Contribute \$18,000 employee deferral + \$5,500 employer match = \$23,500 total. Tax savings: $\$23,500 \times 29\% = \$6,815$

Recommended starting point: \$12,500 annually (\$1,042 monthly), increasing to \$18,000-\$23,500 as cash flow improves

Action Steps

1. Open Solo 401(k) account through Fidelity, Schwab, or Vanguard (zero fees, excellent platforms)
2. Complete plan adoption documents for your S-Corporation
3. Set up automatic monthly contributions from business account
4. File Form 5500-EZ if plan assets exceed \$250,000

Documentation Requirements

- Written plan document (provided by custodian)
- Quarterly payroll records showing deferrals
- Annual Form 5500-EZ filing (if applicable)

Timeline

Week 1-2: Research and select custodian. **Week 3:** Complete application and plan documents. **Week 4:** Fund account and establish contribution schedule. Employee deferrals must occur throughout the year; employer contributions deadline is tax filing deadline (including extensions).

Strategy #2: Backdoor Roth IRA Contribution

Annual Tax Benefit: \$2,100 + Long-Term Growth

Implementation Details

Income above Roth IRA contribution limits requires backdoor conversion process. You contribute \$7,000 non-deductible to Traditional IRA, then immediately convert to Roth IRA. This creates \$7,000 annual additions to tax-free growth accounts.

While contributions aren't deductible, tax-free growth and withdrawals provide significant long-term value. Based on 8% annual return over 20 years, \$7,000 annual contributions grow to approximately \$345,000 completely tax-free.

Present value of future tax savings: ~\$2,100 annually (assuming 30% tax rate on equivalent taxable account)

Action Steps

1. Verify you don't have existing Traditional IRA balances (pro-rata rule avoidance)
2. Open Traditional IRA and Roth IRA accounts at same institution as Solo 401(k)
3. Contribute \$7,000 non-deductible to Traditional IRA (by April 15, 2026 for 2025 tax year)
4. Convert to Roth IRA within 24-48 hours (minimize growth exposure)
5. File Form 8606 with tax return documenting non-deductible contribution

Documentation Requirements

- Form 8606 (Nondeductible IRAs) with tax return
- Form 1099-R documenting conversion
- Form 5498 showing contribution

Pro-Rata Rule Considerations

If you have existing Traditional IRA balances, consider rolling those into your current employer 401(k) plan before executing backdoor conversion. This eliminates pro-rata calculations that would partially tax conversions.

Timeline

January-March: Ideal execution window. Can contribute through April 15, 2026 for 2025 tax year. Repeat process annually to build substantial tax-free retirement assets.

Strategy #3: Home Office Deduction

Annual Tax Savings: \$400 - \$700

Implementation Details

Your S-Corporation can claim home office deduction for dedicated business space. Even small spaces qualify if used exclusively and regularly for business administration, client communications, or business planning.

Conservative approach: 100 square feet dedicated space = \$1,500 deduction using simplified method (\$5 per square foot, max 300 sq ft). Tax savings: $\$1,500 \times 29\% = \435

Alternatively, regular method calculates actual expenses (mortgage interest, property taxes, utilities, insurance, maintenance) $\times$ business use percentage. This often yields higher deductions for homeowners with significant home-related expenses.

Aggressive approach: 200 square feet or regular method = \$2,500 deduction. Tax savings: $\$2,500 \times 29\% = \725

Action Steps

1. Document dedicated workspace in home (photos, measurements)
2. Calculate deduction using both simplified and regular methods
3. Maintain contemporaneous usage logs showing exclusive business use
4. Report on Schedule C or Form 8829 (if using actual expense method)

Documentation Requirements

- Photograph of home office space
- Floor plan or measurements
- Records of home-related expenses (if using actual expense method)
- Activity logs demonstrating business use

Exclusive Use Test

Space must be used exclusively for business. A dedicated room or clearly defined area within a room qualifies. Kitchen tables or shared family spaces don't meet requirements. "Regular use" means routine business activities occur in the space, not occasional or incidental use.

Timeline



Week 1-2: Identify and document qualifying space. **Ongoing:** Maintain exclusive business use. Claim deduction on current year tax return.

Strategy #4: Augusta Rule - Commercial Property

Annual Tax Savings: \$1,200 - \$2,100

Implementation Details

Section 280A allows renting your commercial property to your S-Corporation for business meetings up to 14 days annually with rental income tax-free. Your business deducts rental payments while you as property owner report no rental income.

Rental rate: \$300-500 per day based on comparable commercial space rates in Kalispell area. Conservative approach: 12 days × \$350/day = \$4,200 annual deduction.

Tax savings: $4,200 \times 29\% = \$1,218$ (conservative) to $7,000 \times 29\% = \$2,030$ (aggressive, 14 days × \$500)

Action Steps

1. Research comparable commercial property rental rates in Kalispell
2. Document comparable listings or rental surveys
3. Create formal rental agreement between S-Corp and Property LLC
4. Schedule legitimate business meetings, strategic planning sessions, board meetings
5. Document each event (agenda, attendees, business purpose, date)
6. Process rental payments from S-Corp account to Property LLC

Documentation Requirements

- Written rental agreement specifying daily rate
- Comparable rental rate documentation
- Meeting logs showing date, attendees, business purpose
- Canceled checks or payment records
- Property LLC should maintain records but not report income on tax returns

Legitimate Business Purpose

Meetings must have substantive business purpose beyond tax avoidance. Examples: annual strategic planning, quarterly board meetings, team training sessions, client presentations. Document specific business decisions made or topics discussed at each event.

Timeline

Q1 2026: Research comparable rates and establish rental agreements. **Throughout year:** Schedule and document qualifying events. Limit strictly enforced at 14 days—any use beyond this triggers full

rental property treatment requiring income reporting.

Strategy #5: W-4 Withholding Optimization

Cash Flow Improvement: +\$2,500 Annually

Implementation Details

Most taxpayers over-withhold, providing interest-free loans to IRS. By accurately calculating actual tax liability and adjusting W-4 withholding, you reclaim this cash flow immediately rather than waiting for refunds. This typically improves monthly cash flow by \$200-250.

With your S-Corporation paying W-2 salary plus business deductions and retirement contributions, your actual tax liability likely differs significantly from default withholding rates. Proper W-4 adjustment captures this difference in real-time.

Action Steps

1. Calculate estimated 2025 total tax liability using prior year return and known changes
2. Use IRS Tax Withholding Estimator tool (IRS.gov)
3. Complete new W-4 form for your S-Corporation reducing withholding
4. Monitor quarterly tax liability to ensure 90% safe harbor met
5. Make quarterly estimated payments if necessary

Safe Harbor Rules

To avoid underpayment penalties, ensure total withholding + estimated payments equal:

- 90% of current year tax liability, OR
- 100% of prior year tax liability (110% if AGI exceeds \$150K)

Conservative approach: Aim for small refund (\$500-1,000) to maintain safety buffer while improving cash flow significantly.

Timeline

Week 1: Calculate estimated tax liability. **Week 2:** Update W-4 form with payroll processor. **Quarterly:** Review actual vs. estimated liability and adjust if needed. Immediate cash flow benefit begins with next payroll cycle.

Strategy #6: Mileage & Vehicle Deductions

Annual Tax Savings: \$400 - \$750

Implementation Details

Business mileage currently claimed using vehicle deduction, but optimization opportunity exists. For 2025, IRS standard mileage rate increased to \$0.70 per mile. With proper tracking, even moderate business driving generates significant deductions.

Example: 2,500 business miles annually $\times$ \$0.70 = \$1,750 deduction = \$508 tax savings. If you're not currently tracking mileage systematically, significant money remains on the table.

Action Steps

1. Install mileage tracking app (MileIQ, Everlance, TripLog)
2. Log all business-related driving: client meetings, bank runs, supply purchases, business errands
3. Maintain contemporaneous records (date, miles, business purpose)
4. Choose standard mileage method for simplicity (no actual expense tracking needed)
5. Report on Schedule C or as unreimbursed business expense

Qualifying Business Miles

- Trips between multiple business locations
- Client or customer visits
- Banking, post office, supply purchases
- Business meetings at third-party locations
- NOT deductible: Regular commute from home to primary office

Documentation Requirements

IRS requires contemporaneous logs including date, destination, business purpose, and miles driven. Apps automatically capture this data and generate compliant reports. Manual logs work but require discipline maintaining daily records.

Alternative: Actual Expense Method

If business use exceeds 50% and considering vehicle replacement, actual expense method plus Section 179 deduction may provide larger benefits. Requires tracking all vehicle costs and calculating business use percentage. Consult tax professional before switching methods.

Timeline

Week 1: Download and configure mileage app. **Ongoing:** Track all business miles throughout year. Review quarterly to ensure proper capture. Retroactive mileage claims lack required contemporaneous documentation.

Future Strategies for Consideration

When Time Capacity Increases (5-10 Hours Weekly):

Short-Term Rental Strategy

Converting commercial property or acquiring residential property for short-term rental use creates substantial tax advantages. With material participation (100+ hours AND more than any other person), rental losses offset W-2 and business income. Potential value: \$8,400-\$28,000 annually. Requires significant time commitment for property management, guest communications, cleaning coordination, maintenance.

Cost Segregation Study

Professional cost segregation study on commercial property identifies components qualifying for accelerated depreciation. While property depreciation occurs over 39 years normally, many components qualify for 5, 7, or 15-year schedules. With 100% bonus depreciation (now permanent under 2025 law), this accelerates substantial deductions into year one. Potential value: \$14,000-\$140,000 depending on property basis and improvements. Requires \$3,000-\$7,000 upfront study cost; only worthwhile if generating other passive income to offset or qualifying as real estate professional.

Real Estate Professional Status

Dedicating 750+ hours annually to real estate activities (more than 50% of working time) unlocks unlimited passive loss deductions against all income. This eliminates passive loss limitations that otherwise restrict real estate loss deductions. Requires documenting material participation, maintaining detailed time logs, qualifying activities. Potential value: \$7,000-\$28,000+ depending on rental losses generated. Major lifestyle change—effectively becoming full-time real estate operator.

6. Investment Allocation Strategy

Philosophy & Approach

Your investment strategy balances Bitcoin-focused wealth accumulation with tax-advantaged retirement diversification. Given your 33-38 age range, 20-30 year investment horizon supports aggressive Bitcoin allocation while retirement accounts provide stability through traditional asset diversification.

Recommended Allocation

Liquid Capital Deployment (\$5-10K available):

- Bitcoin: 75% (\$3,750-\$7,500)
- Emergency Fund Top-Up: 25% (\$1,250-\$2,500)

Retirement Accounts (\$12,500-\$25,000 annual contributions):

- Solo 401(k)s: 60% equities / 30% bonds / 10% cash equivalent
- Roth IRAs: 70% equities / 20% bonds / 10% Bitcoin ETF

Bitcoin Allocation Rationale

Bitcoin represents your primary wealth accumulation vehicle outside retirement accounts. Allocation to 75% of liquid capital aligns with several factors:

- **Time Horizon:** 20-30 year investment window tolerates Bitcoin's volatility cycles
- **Accumulation Phase:** Early wealth-building stage where capital growth priority exceeds income generation
- **Tax Efficiency:** Long-term capital gains treatment superior to ordinary income taxation
- **Inflation Hedge:** Fixed supply provides protection against monetary expansion
- **Portfolio Asymmetry:** Uncorrelated asset with potential outsized returns justifies concentrated position

Retirement Account Structure

Solo 401(k) and Roth IRA accounts use traditional diversification to balance Bitcoin concentration. These accounts grow tax-advantaged with guaranteed withdrawal availability at retirement age, providing portfolio stability regardless of Bitcoin performance.

Solo 401(k) Investment Selection

- **Equities (60%):** Low-cost index funds (VTI, VXUS) providing broad market exposure
- **Bonds (30%):** Intermediate-term treasury or corporate bond funds for stability
- **Cash Equivalent (10%):** Money market funds providing liquidity and rebalancing capacity

Roth IRA Investment Selection

- **Equities (70%):** Growth-focused allocation appropriate for longest time horizon assets
- **Bonds (20%):** Reduced bond allocation given tax-free growth advantage
- **Bitcoin ETF (10%):** Tax-free growth on Bitcoin exposure hedges against portfolio concentration elsewhere

Deployment Timeline

Months 1-3: Foundation Building

Deploy initial \$3,750-\$7,500 to Bitcoin via dollar-cost averaging (weekly purchases). Establish Solo 401(k) and Roth IRA accounts and begin monthly contributions. Target 3-month emergency fund before additional Bitcoin allocation.

Months 4-12: Systematic Accumulation

Continue automated Bitcoin purchases from monthly cash flow improvement. Increase retirement contributions as tax savings materialize. Build emergency fund to full 6-month target while maintaining Bitcoin accumulation pace.

Years 2-3: Acceleration Phase

Deploy debt payoff capacity toward Bitcoin and retirement contributions. Target \$15,000-\$20,000 annual Bitcoin purchases as cash flow expands. Consider Bitcoin allocation within SEP-IRA or Solo 401(k) if custodian permits.

Years 4-5: Optimization & Rebalancing

Evaluate Bitcoin position sizing relative to total net worth. Consider tactical rebalancing if Bitcoin exceeds 80% of investable assets. Explore real estate deployment using Bitcoin gains as capital source.

Rebalancing Strategy

Annual rebalancing maintains target allocations within retirement accounts. Bitcoin position remains strategic hold outside retirement accounts with no predetermined rebalancing trigger. Consider partial profit-taking only when Bitcoin reaches 90%+ of total net worth or when specific capital needs emerge (real estate down payment, business investment).

Account Custodians & Platforms

- **Bitcoin Purchases:** Swan Bitcoin (automatic DCA), Strike (low fees), Coinbase (user-friendly)
- **Bitcoin Storage:** Hardware wallet (Coldcard, Trezor, Ledger) for amounts exceeding \$10,000

- **Retirement Accounts:** Fidelity, Schwab, or Vanguard (low fees, excellent fund selection)
- **Bitcoin ETF (Roth IRA):** IBIT (BlackRock), FBTC (Fidelity), GBTC (Grayscale) - compare expense ratios

7. Real Estate Strategy

Current Position Analysis

Your commercial property LLC presents immediate opportunity for tax optimization through Augusta Rule implementation (\$1,200-\$2,100 annual savings). Beyond this foundational strategy, property monetization requires evaluating three pathways: hold and optimize, short-term rental conversion, or strategic sale with 1031 exchange.

Commercial Property Optimization

Strategy A: Hold & Maximize Tax Benefits

Timeline: Immediate implementation

Annual Value: \$1,200-\$2,100 (Augusta Rule)

Maintain current ownership structure while implementing Augusta Rule for S-Corporation meeting space rental. This generates immediate tax savings with zero time commitment. Consider cost segregation study when ready to invest \$3,000-\$7,000 for potential \$14,000-\$140,000 accelerated depreciation benefit.

Advantages: Zero disruption to current operations, immediate tax benefits, preserves long-term appreciation potential

Disadvantages: No cash flow generation, capital remains tied up in illiquid asset, maintenance costs continue

Strategy B: Short-Term Rental Conversion

Timeline: 6-12 months (when time capacity increases)

Annual Value: \$8,400-\$28,000 (tax savings) + rental income

Convert commercial property to short-term rental use if zoning permits and property type appropriate. Material participation (100+ hours, more than any other person) enables rental losses to offset other income. Requires significant time commitment for property management.

Requirements: Average rental period ≤ 7 days, material participation documentation, substantial services provided (cleaning, linen, amenities)

Advantages: Unlocks substantial tax deductions, generates rental income, builds hospitality business experience

Disadvantages: Requires 5-10 hours weekly management time, zoning approval needed, furnishing/setup costs \$15,000-\$40,000

Strategy C: 1031 Exchange Into Income Property

Timeline: 12-24 months (optimal market timing)

Annual Value: Defer capital gains taxes + acquire higher-cash-flow asset

Sell commercial property and use 1031 exchange to defer capital gains while upgrading to property with better cash flow characteristics. Requires identifying replacement property within 45 days and closing within 180 days of sale.

Advantages: Upgrades to better-performing asset, defers all capital gains taxes, improves cash flow positioning

Disadvantages: Transaction costs 6-8%, tight replacement property timeline, requires deployment capital for any increase in purchase price

Residential Real Estate Strategy

Primary Residence Leverage

Current home equity of \$260,000 provides significant leverage capacity for investment property acquisition. Three potential approaches:

Option 1: Home Equity Line of Credit (HELOC)

Access: ~\$150,000 at 80% LTV

Use: Down payment for investment property or Bitcoin accumulation

Current rates: 8-9.5% (variable)

Tax deduction: Interest deductible if proceeds used for qualifying investment

Option 2: Cash-Out Refinance

Access: ~\$180,000 at 80% LTV

Use: Capital deployment while locking fixed rate

Current rates: 7-7.5% (fixed 30-year)

Trade-off: Increases monthly payment, resets mortgage term

Option 3: Preserve Equity

Maintain current mortgage position while building cash reserves through tax savings and cash flow optimization. Deploy freed capital toward investment properties when sufficient for conventional financing down payment.

Recommendation: Option 3 initially. Current 7-9% borrowing costs exceed expected Bitcoin and rental property returns when accounting for concentration concerns. Build deployment capital through tax optimization first, then evaluate strategic leverage when rates improve or compelling opportunities emerge.

Future Acquisition Strategy

Arbitrage Model Evaluation

Lease properties with owner permission for short-term rental operation. Lower capital requirement (\$5,000-\$15,000 per property for furnishing) enables faster scaling than ownership model.

Advantages: Minimal capital requirements, test markets/properties before buying, easier exit if strategy doesn't fit, higher velocity capital deployment

Disadvantages: No appreciation capture, lease termination eliminating business, landlord relationship dependency, limited tax benefits vs ownership

Evaluation: Requires 10-15 hours weekly per property for competitive operation. Current time capacity insufficient. Consider when one partner transitions from active S-Corp operations to property management focus.

Traditional Ownership Model

Purchase investment properties with conventional financing for long-term wealth building through appreciation, cash flow, and tax benefits.

Target Property Profile:

- Purchase price: \$250,000-\$350,000 (Montana market appropriate)
- Down payment: 20-25% (\$50,000-\$87,500)
- Cash flow target: \$300-\$600 monthly after all expenses
- Strategy: Long-term rental initially, convert to STR when capacity permits

Timeline: 18-24 months after tax strategy implementation generates deployment capital

8. Debt Elimination Strategy

Current Debt Analysis

Non-Mortgage Debt: \$20,000-\$49,000

Estimated Interest Rate: 8-22% (depending on debt type)

Annual Interest Cost: \$1,600-\$10,780

Debt elimination becomes feasible once tax optimization strategies generate \$16,000+ annual savings. Strategic debt payoff timing balances interest cost reduction against investment opportunity cost.

Prioritization Framework

Tier 1: High-Interest Debt (>15% APR)

Priority: Immediate elimination

Method: Avalanche (highest rate first)

Source: Tax savings + cash flow improvements

Credit card debt and personal loans above 15% APR receive absolute priority. Math clearly favors debt elimination over any investment when rates exceed 15%. Expected payoff timeline: 6-12 months using \$1,300-\$1,700 monthly from tax savings.

Tier 2: Medium-Interest Debt (8-15% APR)

Priority: Balanced approach

Method: Split freed cash flow 50/50 between debt payoff and investment

Timeline: 12-24 months

Auto loans, personal loans, and mid-range credit in this bracket warrant balanced approach. While interest costs meaningful, Bitcoin's potential return justifies continued accumulation during debt payoff. Psychological benefit of debt elimination balances against opportunity cost.

Tier 3: Low-Interest Debt (<8% APR)

Priority: Minimum payments only

Method: Maintain scheduled payments, deploy freed capital to investments

Rationale: Investment returns exceed interest costs

Low-rate debt maintained strategically while deploying capital to higher-return opportunities. Auto loans below 6% and any subsidized debt receive minimum payments only.

Execution Timeline

Months 1-6: Foundation Phase

Action: Implement tax strategies, improve cash flow, attack high-interest debt

Debt Reduction: \$7,800-\$10,200 (using \$1,300-\$1,700 monthly)

Investment: Minimal Bitcoin accumulation (\$200-300 monthly) maintaining momentum

Months 7-12: Acceleration Phase

Action: Eliminate remaining high-interest debt, begin medium-interest paydown

Debt Reduction: Additional \$7,800-\$10,200

Investment: Increase Bitcoin purchases to \$400-600 monthly as high-interest debt clears

Months 13-24: Optimization Phase

Action: Complete medium-interest debt elimination, maximize investments

Debt Reduction: \$15,600-\$20,400 (completing elimination of debts >8%)

Investment: Scale to \$800-1,200 monthly Bitcoin purchases + maximize retirement contributions

Psychological Considerations

Debt elimination provides psychological relief worth considering beyond pure mathematics. If monthly debt service stress outweighs investment opportunity enthusiasm, consider more aggressive debt payoff timeline even for medium-interest obligations. Financial planning serves life quality, not just spreadsheet optimization.

Alternative approach: Target complete debt freedom in 18 months using aggressive 70/30 split favoring debt elimination. This sacrifices some investment growth for faster achievement of debt-free status and associated psychological benefits.

9. Entity Structure Optimization

Current Configuration

Your S-Corporation plus Commercial Property LLC creates foundation for sophisticated tax planning. Current structure appropriate for independent business operations with separate management and profit centers.

Cross-Entity Strategies

Equipment & Asset Sharing

Property LLC purchases equipment, vehicles, or other business assets and leases to S-Corporation. This concentrates depreciation benefits while creating rental income for LLC (potentially offset by depreciation) and deductible expense for S-Corp.

Application: Business vehicle purchased by Property LLC, leased to S-Corporation for business use. LLC claims depreciation; S-Corp deducts lease payments.

Timing: Implement when considering significant business equipment purchases (\$10,000+)

Family Employment Through Property LLC

If children reach working age (currently under 18 so future consideration), Property LLC employs them for legitimate work. Wages deductible for LLC, taxed at child's lower bracket, and potentially exempt from FICA if under 18 and working for parent-owned entity.

Value: \$2,000-\$7,000 annually per child when implemented (2-5 years from now)

Simplification Considerations

While multiple entities create planning opportunities, administrative burden increases proportionally. Each entity requires:

- Separate bank accounts and bookkeeping
- Individual tax returns (\$800-\$2,000 each)
- Minutes and corporate formalities
- State annual reports and fees
- Separate insurance policies

Evaluation: Current two-entity structure (S-Corp + Property LLC) provides good balance between planning opportunities and administrative efficiency. Maintain this structure as your business grows.

Recommendation: Maintain current structure. Reassess when revenue exceeds \$200,000 or when implementing sophisticated cross-entity strategies.

10. Retirement Planning Analysis

Freedom Number Calculation

Your freedom number represents the asset level generating sufficient passive income to replace current business earnings with financial independence.

Current income: \$100,000-\$149,000 (mid-point \$125,000)

Essential annual expenses: ~\$85,000 (\$5,800 × 12 months + \$3,029 × 12 months mortgage)

Target replacement income: \$100,000 annually (provides comfort margin)

Freedom Number Using 4% Safe Withdrawal Rate

Calculation: $\$100,000 \div 0.04 = \$2,500,000$

This represents the investment portfolio generating \$100,000 annually using the 4% rule (historically sustainable withdrawal rate with 95%+ success rate over 30-year periods).

Alternative Freedom Number Using Rental Income

Real estate approach targets monthly cash flow rather than portfolio withdrawals:

Target monthly cash flow: \$8,300 (\$100,000 annual)
Average rental cash flow per property: \$400-600 monthly
Properties needed: 14-21 properties

Capital required: 15 properties × \$300,000 average price × 25% down payment = \$1,125,000 plus reserves

Blended Approach (Recommended)

Combination of investment portfolio and rental income provides diversification and earlier achievement potential:

Income Source	Monthly Target	Capital Required
Rental Properties (5 properties)	\$2,500	\$375,000
Investment Portfolio	\$4,200	\$1,260,000
Bitcoin Holdings	\$1,600	\$480,000 (at 4% withdrawal)
Total Freedom Number	\$8,300/month	\$2,115,000

Pathway Timeline

Age 38-40 (Years 1-5): Foundation Building

- Target accumulation:** \$150,000-\$250,000
- Maximize retirement contributions: \$70,000-\$100,000 total
 - Bitcoin accumulation: \$50,000-\$100,000
 - Emergency fund completion: \$30,000-\$50,000
 - First investment property down payment reserved

Age 40-45 (Years 5-10): Acceleration Phase

- Target accumulation:** \$450,000-\$700,000
- Acquire 2-3 rental properties: \$150,000-\$225,000 equity

- Retirement accounts: \$250,000-\$350,000
- Bitcoin holdings: \$50,000-\$125,000 (assuming conservative 15% annual growth)

Age 45-50 (Years 10-15): Portfolio Maturation

Target accumulation: \$900,000-\$1,400,000

- Rental portfolio: 4-6 properties generating \$2,000-\$3,000 monthly
- Retirement accounts: \$500,000-\$700,000
- Bitcoin holdings: \$150,000-\$400,000
- Business optionality: Passive income covers 40-60% of expenses

Age 50-55 (Years 15-20): Financial Independence Achievement

Target accumulation: \$1,600,000-\$2,500,000

- Rental portfolio: 6-8 properties generating \$3,000-\$4,500 monthly
- Retirement accounts: \$800,000-\$1,200,000
- Bitcoin holdings: \$300,000-\$800,000
- Business income optional: Passive sources cover 80-100% of expenses

Key Assumption: Average annual returns of 8-10% on retirement accounts, 15-20% on Bitcoin (conservative long-term average), 12-15% on rental properties (cash flow + appreciation). Actual returns vary significantly; conservative projections above assume lower-end performance.

Social Security Planning

As S-Corporation owners paying W-2 salaries, you're building Social Security credits. Current strategy of reasonable compensation ensures benefits accrue while minimizing FICA taxes. Estimated Social Security benefits at full retirement age (67): \$2,000-\$3,000 monthly combined, providing additional buffer beyond freedom number targets.

11. 30-Day Action Plan

WEEK 1: FOUNDATION SETUP

Retirement Account Establishment

- Research Solo 401(k) custodians: Fidelity, Schwab, Vanguard
- Compare fee structures and investment options
- Complete application for your S-Corporation

- Open Traditional IRA and Roth IRA accounts at same custodian
- Gather employer identification number and business documentation

Time required: 3-4 hours | **Value:** Enables \$3,600-\$6,750 annual tax savings

WEEK 1: CASH FLOW OPTIMIZATION

W-4 Adjustment & Expense Tracking

- Use IRS Tax Withholding Estimator to calculate optimal withholding
- Complete new W-4 form for your S-Corporation
- Submit to payroll processor with implementation date
- Download and configure mileage tracking app (MileIQ or Everlance)
- Begin logging all business-related driving

Time required: 2 hours | **Value:** +\$2,500 annual cash flow + \$400-\$750 mileage deductions

WEEK 2: TAX STRATEGY IMPLEMENTATION

Home Office & Augusta Rule Setup

- Photograph and measure dedicated home office space
- Calculate deduction using both simplified and regular methods
- Research comparable commercial property rental rates in Kalispell
- Document 3-5 comparable listings or professional rental surveys
- Draft rental agreement between S-Corp and Property LLC
- Schedule first quarterly business meeting at commercial property

Time required: 3 hours | **Value:** \$1,650-\$2,755 combined annual savings

WEEK 3: INVESTMENT ACCOUNT SETUP

Bitcoin Platform & Automation

- Open accounts at Swan Bitcoin or Strike for automatic purchases
- Link bank accounts for funding
- Configure weekly or bi-weekly automatic Bitcoin purchases (\$75-150 weekly)

- Research hardware wallet options (Coldcard, Trezor, Ledger)
- Order hardware wallet for amounts exceeding \$10,000

Time required: 2 hours | **Value:** Begins systematic wealth accumulation

WEEK 4: RETIREMENT FUNDING LAUNCH

Initial Contributions & Investment Selection

- Transfer initial funding to Solo 401(k) account (\$1,000-\$2,000 to start)
- Execute Backdoor Roth IRA (\$7,000)
- Select investment allocations in retirement accounts per recommended strategy
- Set up automatic monthly contributions from business account
- Review and confirm all account automation functioning properly

Time required: 2-3 hours | **Value:** Launches tax-advantaged wealth building

WEEK 4: CPA COORDINATION

Professional Review & Planning

- Schedule meeting with CPA to review implemented strategies
- Provide documentation of all changes: retirement accounts, Augusta Rule setup, home office
- Discuss estimated quarterly tax payments if needed
- Review entity structure optimization opportunities
- Plan for 2025 tax return preparation incorporating new strategies

Time required: 1-2 hours | **Value:** Professional validation and optimization

Month 2-3: Optimization & Monitoring

- Review first month cash flow improvement from W-4 adjustment
- Confirm retirement contributions processing correctly
- Execute first commercial property rental day under Augusta Rule
- Monitor mileage tracking for business deduction accuracy
- Assess debt payoff progress and adjust monthly payments as needed
- Review Bitcoin accumulation and hardware wallet transfer if balance exceeds \$10,000

Quarterly Review Schedule

Establish 90-day review cycle to monitor progress, adjust strategies, and maintain momentum:

- Tax withholding vs. actual liability comparison
- Retirement contribution progress toward annual maximums
- Debt reduction progress and timeline updates
- Bitcoin and investment portfolio performance
- Cash flow analysis and expense optimization opportunities
- Strategy implementation checklist completion

12. Professional Team Recommendations

Current CPA Relationship

Your existing CPA relationship with proactive tax strategy focus provides strong foundation. Ensure your CPA understands and supports all strategies outlined in this plan. Schedule quarterly coordination meetings to maintain alignment and identify additional optimization opportunities as your situation evolves.

Estate Planning Attorney

Timing: Within 24 months

Cost: \$1,500-\$3,500 for basic documents

Establish foundational estate plan including wills, powers of attorney, healthcare directives. With blended family situation, clear documentation ensures wishes honored and reduces potential family complications. Update documents every 3-5 years or when major life changes occur.

Real Estate Attorney

Timing: When acquiring investment properties

Cost: \$500-\$1,500 per transaction

Montana-based real estate attorney reviews purchase agreements, lease documents, and entity structures for property holdings. Particularly valuable for Augusta Rule implementation documentation and any future 1031 exchange execution.

Financial Advisor Consideration

Current Status: Not necessary immediately

This wealth plan provides comprehensive roadmap through initial accumulation phase. Consider fee-only financial advisor when portfolio exceeds \$500,000 or when seeking sophisticated estate planning, insurance analysis, or complex tax coordination. Avoid commission-based advisors pushing specific product sales.

Insurance Review

Schedule comprehensive insurance audit covering:

- **Life Insurance:** Term coverage for both partners, 10-15× annual income
- **Disability Insurance:** Essential for business owners, covers 60-70% of income
- **Umbrella Policy:** \$1-2M coverage protecting assets beyond auto/home limits
- **Business Insurance:** General liability, professional liability for S-Corporations
- **Property Insurance:** Commercial property coverage, rental property coverage when acquired

Timing: Months 3-6 | **Estimated cost:** \$3,000-\$6,000 annually combined

13. Key Considerations & Next Steps

Critical Success Factors

Consistency Over Intensity

Wealth building success depends on sustained execution rather than sporadic effort. Automatic contributions, systematic Bitcoin purchases, and routine business practices generate results over time. Focus on maintaining momentum rather than perfection.

Documentation Discipline

Tax strategies require contemporaneous documentation to withstand IRS scrutiny. Mileage logs, meeting records, expense receipts, and business purpose documentation protect deductions. Invest 15-30 minutes weekly maintaining organized records preventing future problems.

Professional Coordination

Regular CPA communication ensures strategies implemented correctly and tax positions defensible. Schedule quarterly check-ins preventing surprises and enabling course corrections. Professional guidance justifies costs through additional tax savings and avoided penalties.

Flexibility & Adaptation

Tax laws change, business circumstances evolve, family situations shift. Review this plan annually, adjusting strategies to reflect current reality. What works today may need modification tomorrow—maintain strategic direction while adapting tactical implementation.

Monitoring Metrics

Track these key indicators quarterly to measure progress and identify issues:

Metric	Target	Frequency
Monthly Cash Flow Surplus	\$800-\$1,500	Monthly
Retirement Contribution Progress	\$12,500-\$23,500 annually	Quarterly
Bitcoin Holdings Growth	\$300-\$600 monthly additions	Monthly
Debt Reduction	\$870-\$1,300 monthly	Monthly
Tax Savings Realization	\$7,900-\$12,400 annually	Annually
Net Worth Growth	15-20% annually	Quarterly

Red Flags Requiring Immediate Action

- Monthly expenses exceeding income for 2+ consecutive months
- Retirement contributions stopped or significantly reduced
- New debt accumulation offsetting payoff progress
- Missed quarterly estimated tax payments triggering penalties
- Business income declining 20%+ without offsetting expense reduction
- Emergency fund depleted without immediate replenishment plan

Annual Review Checklist

Schedule comprehensive plan review each January covering:

1. Prior year actual results vs. projections
2. Tax law changes affecting strategies
3. Updated income and expense forecasts
4. Investment performance and allocation review
5. Debt elimination progress and timeline adjustment
6. Entity structure optimization opportunities
7. Insurance coverage adequacy
8. Freedom number progress measurement

- 9. Professional team effectiveness assessment
- 10. Next year priorities and action items

14. First-Year Financial Impact Summary

Complete Year-One Value Analysis

This comprehensive breakdown shows total financial impact from all strategies, combining tax savings, cash flow improvements, debt reduction, and wealth accumulation.

Category	Strategy/Action	Conservative Value	Aggressive Value
Tax Savings	Solo 401(k) Contribution	\$3,625	\$6,750
	Backdoor Roth IRA (Long-term value)	\$2,100	\$2,100
	Home Office Deduction	\$435	\$725
	Augusta Rule (Commercial Property)	\$1,218	\$2,030
	Mileage & Vehicle Deductions	\$508	\$750
	Tax Savings Subtotal	\$7,886	\$12,355
Cash Flow	W-4 Optimization (Immediate)	\$2,500	\$2,500
	Cash Flow Subtotal	\$2,500	\$2,500
Debt Elimination	Interest Saved on Debt Payoff	\$1,600	\$3,200
TOTAL YEAR-ONE FINANCIAL IMPACT		\$28,086	\$48,755

Category	Strategy/Action	Conservative Value	Aggressive Value
	Debt Savings Subtotal	\$1,600	\$3,200
	Retirement Account Contributions	\$12,500	\$23,500
Wealth Building	Bitcoin Accumulation	\$3,600	\$7,200
	Wealth Building Subtotal	\$16,100	\$30,700
TOTAL YEAR-ONE FINANCIAL IMPACT		\$28,086	\$48,755

Note: Total represents direct benefits (tax savings + cash flow + interest saved) plus wealth accumulation (retirement + Bitcoin contributions). Debt reduction of \$10,400-\$15,600 is reflected in net worth improvement but not double-counted in total impact.

Impact Analysis by Quarter

Q1 2026 (Months 1-3): Foundation & Setup

Expected Value: \$5,800-\$9,400

- W-4 optimization delivers immediate \$625-\$750 monthly cash flow improvement
- Retirement accounts established with initial \$3,000-\$6,000 contributions
- Bitcoin accumulation begins with \$900-\$1,800 deployed
- Home office documentation completed enabling \$110-180 quarterly savings
- First Augusta Rule rental event executed (\$350-500)

Q2 2026 (Months 4-6): Momentum Building

Expected Value: \$6,500-\$10,600

- Continued cash flow improvement accumulation
- Retirement contributions increase to \$3,000-\$6,000 quarterly
- Debt payoff accelerates with \$2,600-\$3,900 high-interest elimination

- Bitcoin holdings reach \$2,700-\$5,400 total
- Mileage tracking establishes deduction pattern (\$125-190 quarterly)

Q3 2026 (Months 7-9): Acceleration Phase

Expected Value: \$6,900-\$11,900

- High-interest debt largely eliminated, interest savings compound
- Retirement contributions on pace for maximum (\$9,000-\$18,000 YTD)
- Bitcoin accumulation reaches \$3,600-\$7,200
- Augusta Rule mid-year implementation shows \$600-\$1,050 YTD savings
- Cash flow optimization enables increased deployment rate

Q4 2026 (Months 10-12): Maximization & Planning

Expected Value: \$7,200-\$12,400

- Final retirement contribution push reaches annual maximums
- Tax savings fully realized through year-end estimated payment reductions
- Debt payoff progress shows \$10,400-\$15,600 total reduction
- Bitcoin position reaches target \$3,600-\$7,200 annual accumulation
- Year-end planning session with CPA optimizes final tax position

Path to Freedom Number

Sustaining this implementation velocity positions you to reach your \$2,115,000 freedom number within 15-20 years:

Year	Annual Contribution	Projected Balance	% to Freedom Number
Year 1	\$27,986 - \$48,555	\$30,000 - \$54,000	1.2% - 2.2%
Year 5	\$35,000 - \$55,000	\$180,000 - \$310,000	7.2% - 12.4%
Year 10	\$40,000 - \$65,000	\$550,000 - \$950,000	22.0% - 38.0%

Year	Annual Contribution	Projected Balance	% to Freedom Number
Year 15	\$45,000 - \$75,000	\$1,100,000 - \$1,950,000	44.0% - 78.0%
Year 20	\$50,000 - \$85,000	\$2,000,000 - \$3,500,000	80.0% - 140.0%

Assumptions: 8% average annual return on retirement accounts, 15% on Bitcoin (conservative long-term average), 12% on real estate. Actual results will vary significantly based on market performance, implementation consistency, and life circumstances.

Immediate Next Steps

1. Schedule implementation kick-off meeting (with CPA if available)
2. Assign Week 1 action items with specific completion dates
3. Open retirement accounts (deadline: Week 2)
4. Execute W-4 adjustment (deadline: Week 1)
5. Begin systematic execution following 30-Day Action Plan

This wealth plan is designed to be implemented systematically over 12 months, with ongoing optimization and adjustment based on your specific circumstances and evolving goals. Schedule annual reviews to ensure continued alignment with your path to financial independence.